

Porter's Strategic Matrix

3.3.1.2 Theories of corporate strategy · Mr. Akram — Academy

In 1979 Michael Porter argued that a business needs a clear **competitive strategy** to gain a competitive advantage. It must choose its **source of advantage** (lower cost vs differentiation) and its **scope** (a broad/mass market vs a narrow niche). This gives four generic strategies.

The four generic strategies

- **Cost leadership** — making products for a broad (mass) market at the **lowest cost**, to win on price while protecting margins. e.g. Ryanair, Walmart, Amazon.
- **Differentiation** — a **unique product in a broad market** whose USP adds value, letting the firm charge a premium rather than compete on price. e.g. Apple, Mercedes, Nike.
- **Cost focus** — serving a **narrow segment / niche at low cost**. e.g. a local budget gym, a low-cost excursion company in a holiday resort.
- **Differentiation focus** — a **unique product for a narrow niche**, with a USP that adds value within that segment. e.g. Rolex, Aston Martin, Tyrrells (premium crisps).

"Stuck in the middle"

Porter warned against being **stuck in the middle** — a firm with no clear strategy, neither the cheapest nor distinctive enough. It fails to attract a defined customer base and loses competitiveness.

Apply it

- According to Porter, how has each of these gained a competitive advantage: Walmart, Apple, Rolex, a local budget gym?
- What are the benefits and drawbacks of Porter's Strategic Matrix for a business such as Nike?
- Practice: Using Porter's Strategic Matrix, discuss how Under Armour should compete with rivals such as Nike and Adidas.